Week 48 Deep Research -- Full Report

Date: Sunday, August 9, 2026

Week: 48

1. RESTATED RULES

- Long-only, full shares, no options/margin/shorting. U.S.-listed common <=$2B cap.
- Cash floor 15%; no new capital. Track to the cent.
- Sizing: risk <=5% equity/trade; <=30% per name; binary-event plays max 1 at <=15%.
- Excluded classes: ETFs/ETNs, closed-end funds incl. BDCs, SPACs, ADRs, units/warrants.
- Entry discipline: post-earnings cooldown; <=20% above 20-day SMA / <=40% above 50-day; avoid days 1-3 of a >+10% breakout; thesis-input freshness; screener score = sourcing (2/5 floor).
- Stops: range check mandatory -- state today's low, ATR(14) computed from data, and max loss; >=1.5xATR clearance; never lower a stop; de-risk by size, not tightness.
- Sector cap <=2 per GICS sector; regime filter; one open order per stock; No-Candidates rule.

2. RESEARCH SCOPE

Retrieved: 2026-08-09 ~17:20 ET. Closes as of Friday 2026-08-07 (settled). Screener regenerated 2026-08-09 (clean).

Live sources: FOXF (Investing.com/StockTitan/MarketBeat -- Q2 beat $0.37 vs $0.18, FY raised), BZH (MarketScreener/Yahoo -- Dream Finders $33.50 cash acquisition), NAVI (StockStory/SEC -- court settlement 8/3, Q2 8/6), DCH (SEC/MarketBeat -- Dauch Corp, ex-American Axle, Dowlais deal pending), TILE (StockTitan 8/7 05:30 -- Q2 release, browser-verified).

Checks: excluded-class screen, sector-cap map, distance-from-base + breakout-age, ATR range checks on all four holdings, cash floor.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction	Status
TILE	Cons. Cyclical -- beat-and-rais	2026-06-15	$32.10	$38.29 (+19.3%)	$33.25 (3.93xATR)	4/5	KEEP -- raise stop
ATRC	Health Care -- post-catalyst	2026-07-13	$34.30	$41.39 (+20.7%)	$36.00 (2.80xATR)	4/5	KEEP -- raise stop
ARDT	Health Care -- post-catalyst	2026-07-31	$10.80	$11.55 (+6.9%)	$10.05 (2.65xATR)	3/5	KEEP -- modest raise
SHO	Real Estate -- quality REIT	2026-05-18	$10.20	$11.08 (+8.6%)	$10.90 (0.70xATR)	2/5 ?	EXIT

Equity: $739.98 · Cash: $283.02 (38.2%) · Gap: ?5.0% ($739.98 vs $778.63) · TWR alpha +0.06%

Week 48 realized: WKC +$11.66 (+44.8%, stop), TDAY ?$6.08 (?4.7%, stop, revenue ?8.3% YoY), ARDT trim +$1.50. Net +$7.08.

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4. CANDIDATE SET

Ticker	One-Line Thesis	Key Catalyst	Confirmation	Liquidity Note
FOXF	Fox Factory -- Q2 EPS $0.37 vs $0.18 est, FY sales guide raised to $1.42-1.47B,	Q2 reported 8/6; cost program through FY26	CONFIRMED (Investing.com + StockTitan + MarketBeat)	$886M [OK]; day 2 of a +12% one-day gap
BZH	Beazer Homes -- Dream Finders $33.50 cash acquisition	Merger close	CONFIRMED	Arb spread 1.0% ($33.18 vs $33.50) -- no edge
NAVI	Navient -- student-loan settlement advanced	Q2 reported 8/6	CONFIRMED	PT $9.19 vs $9.08 = +1.2% upside, Hold consensus
DCH	Dauch Corp (ex-American Axle) -- Dowlais acquisition pending	Deal close, undated	Partial	Auto-parts cyclical + integration risk

Evaluated & not selected (one line each):
- FOXF (#3) -- genuinely the best fundamental story on the board; passes both distance tests (+13.0% vs 20-day SMA, +16.6% vs 50-day, limits +20%/+40%) -- but it is day 2 of a +12% single-session gap ($18.86 -> $21.13). That is precisely the ARLO/PHAT pattern the rules exist to block. Queued #1 for Week 49 on any consolidation or higher-low base.
- GSBD (#2), RWAY (#6), OCSL (#9), BBDC (#11) -- all BDCs (closed-end funds) -> excluded class. Four of the top eleven.
- ALXO (#5), AMPH (#7), VSTM (#8), BOLD (#12) -- Health Care is at its 2-name cap (ATRC + ARDT); all blocked regardless of merit.
- BZH (#1) -- merger arb with a 1% spread; the 10.2x volume ratio is the deal announcement, not a momentum signal (CCRN precedent).
- NAVI (#13) -- 1.2% to consensus PT on a Hold rating; no asymmetry.
- NHP (#4) -- $344M micro-cap REIT; SHO's exit frees the sector but the name is sub-scale with no dated catalyst.
- DCH (#10) -- auto-parts cyclical carrying Dowlais integration risk; no dated catalyst.
- ZD (#14) -- $2.0B at the universe ceiling, momentum fading (?0.3%/5d).
- REAL (#15) -- rolling over (?1.8%/5d) despite +15.2%/20d.

Net: no initiation. Not a failure of screening -- a structural one: 4 excluded-class, 4 sector-capped, 2 arb/no-asymmetry, and the one quality name is 2 days into a vertical gap.

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5. PORTFOLIO ACTIONS

- Exit: SHO -- 11 shares at market, Monday open. The 8/6 beat was sold into (opened +1.88% at $11.90, closed ?3.3%), followed by three straight down days and a second rejection at the $11.90-12.07 resistance. The catalyst that justified holding has passed and disappointed; there is no further dated catalyst. Separately, its stop sits at 0.70xATR -- inside the noise band -- so leaving it means a likely coin-flip exit at ~+6.9% instead of a deliberate +8.6%. Conviction 3/5 -> 2/5.
- Keep + raise stop: TILE -> $35.75 / $35.60 (from $33.25). Q2 was a beat-and-raise (sales $395.7M +5.4%, EPS $0.88 vs $0.55, FY guide raised to $1.455-1.485B). Old stop at 3.93xATR was far too loose for a +19.3% position.
- Keep + raise stop: ATRC -> $37.90 / $37.75 (from $36.00). Locks +10.5% on a +20.7% position; below the 5-day low ($37.98).

- Keep + raise stop: ARDT -> $10.35 / $10.25 (from $10.05). Modest; caps loss at ?4.2%.
- Initiate: none -- see Section 4.
- Add to existing: considered and rejected. TILE and ATRC both have confirmed catalysts, but both are extended immediately post-print; adding here is the same "buy the post-print high" error as a fresh chase.

6. EXACT ORDERS

Order 1 -- Exit SHO
- Action: sell · Ticker: SHO · Shares: 11
- Order Type: market -- reasoning: exiting a fading thesis where the existing stop is inside the noise band; certainty of execution matters more than a few cents, and SHO's ATR is only 2.31% (tight spread, $2.5M volume)
- Time in Force: DAY · Intended Execution: 2026-08-10
- Stop Loss: N/A (position closed) · Stop Limit: N/A
- Special: cancel the resting $10.90/$10.80 stop first (one open order per stock)
- Rationale: catalyst passed and was sold into; banks +8.6% deliberately rather than +6.9% by coin flip.

Order 2 -- Raise TILE stop
- Action: modify stop (GTC) · Ticker: TILE · Shares: 4
- Stop Loss: $35.75 -- 2.0xATR below the $38.29 close, 2.0% below Friday's $36.49 low, above the $35.10 pre-gap close
- Stop Limit: $35.60
- Range check: today's low $36.49 · ATR(14) $1.283 (3.35%) · locks +11.4% (+$14.60)
- Order-side check: $35.75 < $38.29 [OK]

Order 3 -- Raise ATRC stop
- Action: modify stop (GTC) · Ticker: ATRC · Shares: 3
- Stop Loss: $37.90 -- 1.82xATR below the $41.39 close, just below the 5-day low ($37.98)
- Stop Limit: $37.75
- Range check: today's low $39.45 · ATR(14) $1.922 (4.64%) · locks +10.5% (+$10.80)
- Order-side check: $37.90 < $41.39 [OK]

Order 4 -- Raise ARDT stop
- Action: modify stop (GTC) · Ticker: ARDT · Shares: 5
- Stop Loss: $10.35 -- 2.12xATR below the $11.55 close, just below the 5-day low ($10.42)
- Stop Limit: $10.25
- Range check: today's low $11.46 · ATR(14) $0.566 (4.90%) · caps loss at ?4.2% (?$2.25)
- Order-side check: $10.35 < $11.55 [OK]

7. RISK AND LIQUIDITY CHECKS

Post-trade (SHO exits ~$11.08):

Holding	Value	% of Equity
TILE	$153.16	20.7%
ATRC	$124.17	16.8%
ARDT	$57.75	7.8%
Cash	$404.90	54.7%

- No position >30% [OK] · Cash far above the 15% floor [OK] · Binary plays 0 [OK]
- Sectors: Cons. Cyclical 1, Health Care 2 (at cap) -- compliant [OK]
- Aggregate stop-risk if all three fired: ?$5.85 ? 0.8% of equity -- the book is now defensively positioned to an extreme degree
- SHO exit is ~0.5% of its $2.5M daily volume -- no slippage concern [OK]

[!] The central risk is now the opposite of a drawdown: 54.7% idle cash with 6 weeks left. Cash cannot close a ?5.0% gap. This is flagged as the primary strategic problem for Week 49 (Section 8).

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8. MONITORING PLAN

- FOXF -- the deployment candidate. Watch for consolidation: a 3-5 session base above ~$20 with a higher low, or a pullback toward the 20-day SMA ($18.70). Entry then, with a 1.75xATR stop (~$19.37 from current levels). This is the Week 49 priority.
- TILE -- post-gap behavior. Gaps often partially fill; the $35.75 stop sits above the $35.10 pre-gap close deliberately. Note 393bps of the 560bps margin gain came from one-time IEEPA tariff refunds -- underlying operational improvement is 131bps. Watch whether the raised FY guide holds without tariff help.
- ATRC -- no catalyst pending; pure trail management. Watch AtriClip-vs-Edwards commentary.
- ARDT -- the ?32% YoY EBITDA remains the open question; 5 shares is a deliberately small residual.
- Cash deployment -- if FOXF does not set up and the Week 49 screen is again structurally blocked, escalate the decision: accept index-tracking into the finish, or revisit the sector cap / excluded-class constraints with the user.

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9. THESIS REVIEW SUMMARY

(Saved separately as Week 48 Summary.md.)

TILE -- KEEP | 4/5. The Q2 print I could never date landed 8/7 and was a genuine beat-and-raise: sales $395.7M (+5.4%), EPS $0.88 vs $0.55, adj. EBITDA +35.2%, FY guidance raised. +9.09% on the day, position +19.3%. One honest caveat: most of the margin expansion was one-time tariff refunds. Stop to $35.75, locking +11.4%.

ATRC -- KEEP | 4/5. +20.7% and still re-rating from the profitability inflection. Stop to $37.90 locks +10.5%. The July PT-trim scare (?12% over two days) never breached its stop -- the range-check discipline paid for itself.

ARDT -- KEEP | 3/5. +6.9% on the 5-share residual after the trim. Mixed print (revenue beat, EPS miss, EBITDA ?32%) keeps conviction capped; stop to $10.35.

SHO -- EXIT | 2/5 ?. The thesis was the raised-guidance re-rating, and the 8/6 beat was the test. The market sold it -- opened +1.88%, closed ?3.3%, then three more down days and a second failure at $11.90-12.07. No catalyst remains, and the stop at 0.70xATR guarantees a noise-driven exit. Take +8.6% by choice.

Overall portfolio thesis. Gap ?5.0%, TWR alpha +0.06%. Week 48 was the catalyst week's reckoning: WKC's stop banked +44.8%, TDAY's stop cut a broken thesis at ?4.7% (revenue ?8.3% YoY -- the AI-licensing inflection never reached the top line), and TILE delivered a beat-and-raise. Net realized +$7.08 with zero disasters -- the risk machinery worked.

The problem now is the mirror image of six weeks ago: not too little cash, but too much. After exiting SHO the book holds 3 positions and 54.7% cash with 6 weeks to run, and the screen offered no legitimate deployment -- 4 BDCs excluded, 4 healthcare names blocked by our own sector cap, 2 arbs, and the single quality story (FOXF) sitting 2 days into a +12% vertical gap. Forcing an entry into that field would repeat PHAT and LXU exactly.

So Week 48 is deliberately defensive, and the honest admission is that defensiveness alone cannot close a 5% gap in 6 weeks. The plan: raise stops to protect a book that is now almost entirely house money, hold cash rather than donate it to a bad entry, and deploy into FOXF the moment it consolidates. If Week 49's screen is again structurally blocked, the constraint set itself -- not the market -- becomes the thing to revisit.

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10. CONFIRM CASH AND CONSTRAINTS

- Starting cash: $283.02 · SHO exit: +$121.88 -> Ending cash: $404.90 (54.7%) -- above the 15% floor [OK]

- Positions: 3 of max 6 [OK] · Sectors: Health Care 2 (at cap), Cons. Cyclical 1 [OK] · Binary plays: 0 [OK]
- Largest position: TILE 20.7% < 30% [OK]
- Excluded classes screened: 4 BDCs rejected [OK] · Entry discipline: FOXF breakout-age documented [OK]
- All stops range-checked against today's low + ATR [OK]
- Note: orders are recommendations -- real only after broker execution with actual fills, which I then log. Report the SHO fill and confirm the three stop changes.

Week 48 Full report generated 2026-08-09 by Claude Code (Neutral posture). Closes as of 2026-08-07; catalysts verified 2026-08-09; TILE release browser-verified per price-data-integrity.md.